Filing # 259154530 E-Filed 10/14/2026 09:18:56 AM

IN THE DISTRICT COURT OF APPEAL
FOR THE SECOND DISTRICT
STATE OF FLORIDA

Case No. 2D2026-1005
L.T. No.: 2023CA-000262 SC

TERESA J. PATTERSON & DAVID D. WALTER,
Appellants,

v.

LAURA CLARKE,
Appellee.

INITIAL BRIEF FOR APPELLANTS

On Appeal from the Circuit Court of the Twelfth Judicial Circuit,
in and for Sarasota County, Florida

Prof. David D. Walter, Pro Se, Appellant/Plaintiff
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STATEMENT OF THE CASE AND FACTS

A. Nature of the Case, Disposition in the Lower Tribunal, Course of the Proceedings.

This lawsuit involves the attempted purchase of two Duplexes owned by Appellants Teresa J. Patterson and David D. Walter, located in Venice, Florida, for a purchase price of $1,750,000. *See* R. at 1277-78 (Fourth Am. Compl.) The two Purchase Contracts were signed by Defendant Kevin A. Clarke on October 6 and 7, 2022 (R. at 1277), but on November 29, 2022, a day before the closing date, Appellants were informed by Defendant Clarke's real estate agent, Defendant Cintron, that Defendant Clarke and Appellee (his wife) would not be closing and the transactions were "cancelled" because they "felt uncomfortable moving forward" (R. at 1281) (Fourth Am. Compl.). *See also* R. at 494, 496-97 (Appellee's December 3, 2022, email); R. at 372 (Defendant Clarke's December 5, 2022, email).

Appellants filed their original Complaint on January 19, 2023,[1] against

[1] Although pro se, Ms. Patterson is a licensed attorney, Florida Bar No. 38157, and owns and manages the two Duplex properties. Prof. Walter (Ms. Patterson's husband) is also a licensed attorney, Florida Bar No. 47401, and is a Professor & Co-Director, Emeritus, Legal Skills & Values Program at Florida International University College of Law, Miami, Florida, where he taught contracts, contract drafting, torts, professionalism, and ethics in the context of his legal skills courses. R. at 1275.

Defendant Clarke; Defendants Cintron/Platinum Real Estate Experts, LLC (Defendant Clarke's real estate agent and agency); and Defendants Melman/Palm Realty of Venice, LLC (Appellants' real estate agent and agency) after the Defendants refused to mediate. R. at 1283.[2]

It became apparent during discovery that Appellee was extensively involved in the transactions and misrepresentations made to the Appellants (although Appellee was not named on the Purchase Contracts). *See* R. at 397-403 (Pl. Am. M. for Leave to Am. Compl.); R. at 155-340 (Ex. A-E); R. at 341-93 (Ex. F-P); R. at 481-507 (Ex. Q-W). Appellants moved to add Appellee as a defendant, asserting counts against Appellee for fraudulent and negligent misrepresentation. R. at 397-403. Appellants also moved to assert counts for fraudulent and negligent misrepresentation against Appellee's husband, Defendant Clarke. The Motion was granted on January 15, 2026. *See* R. at 645-51 (Recommended Order of Magistrate); R. at 828-29 (Order on Recommended Order of Magistrate).

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[2] During 2023-2024, the Second District resolved an appeal by Appellants addressing whether Defendants/Appellees Melman/Palm Realty waived their right to arbitration. *Patterson et al. v. Melman et al.,* No. 2D2023-1388, 398 So. 3d 470 (Fla. 2d DCA 2024). This Court concluded that whether Defendants/ Appellees Melman/Palm Realty waived their right to arbitration must be determined by an arbitrator.

Appellants filed their Third Amended Complaint with the new counts on January 23, 2026. R. at 830-870. Appellee and Defendant Kevin Clarke filed their Motion to Dismiss, Strike, & For More Definite Statement on February 2, seeking to dismiss all counts against Appellee and Defendant Clarke (R. at 871-92), with one page of the Motion specifically devoted to the dismissal of the two counts against Appellee (R. at 882). Appellants filed their Response to the Motion on March 6 (R. at 960-1083), and specifically responded to the Motion to Dismiss the two counts against Appellee (R. at 971-72).

A hearing was held on March 18 (R. at 1139-40), and the trial court issued its ruling from the bench on March 19, entered nunc pro tunc on March 27 (R. at 1159-60) and corrected that Order on April 1, to add the Order/Transcript (R. at 1161-1174). The trial court dismissed the fraudulent and negligent misrepresentation counts against Appellee (R. at 1262-63) and also dismissed the fraudulent and negligent misrepresentation counts

against Defendant Clarke (R. at 1260-61).[3] Appellants filed their Notice of Appeal on April 17, 2026.

B. Statement of Facts.

During discovery it became apparent that Appellee was extensively involved in the attempted purchase of the two Duplexes, either acting as a principal along with her husband Defendant Clarke, or acting as an agent on behalf of her husband.[4] *See* R. at 846-51(¶¶75.51-75.90)(Third Am.

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[3]Defendants Cintron/Platinum also filed a Motion to Dismiss (R. at 893-97) on February 2, and Appellants filed a Response to that Motion (R. at 1084-1121) on March 9, 2026. Similarly, Defendant Melman/Palm Realty filed a Motion to Strike Third Amended Complaint (R. at 901-44) on February 13, and Appellants filed a Response (R. at 1122-1138) on March 16. The trial court held hearings on March 19 regarding Defendants Cintron/Platinum's Motion and Defendants Melman/Palm Realty's Motion, denying both Motions. *See* R. at 1159-60 (Order); R. at 1163 (Corrected Order/Transcript, denying Cintron/Platinum Motion to Dismiss); R. at 1265 (denying Melman/Platinum Motion to Strike).

[4]To date, Appellants have been unable to take the depositions of Appellee and Defendant Clarke to clarify the nature of the principal or agency relationship. Defendant Clarke was originally schedule for depositions on April 22, 2026, but the deposition was cancelled after the Magistrate entered her Recommended Order that Defendant Clarke must be able to take Appellants' depositions first; the trial court approved the Order directing Appellants' depositions be taken first, after Appellee's and Defendant Clarke's depositions were taken. Appellants then scheduled Appellee's and Defendant Clarke's depositions for May 19, issuing a subpoena for Appellee's deposition and a Notice of Deposition for Defendant Clarke, but both refused to appear for their depositions because of a dispute as to whether there was a settlement agreement. Defendant's Motion to Enforce Settlement Agreement is set for hearing on October 28.

Compl.); *see also* R. at 397-403 (Pl. Am. M. for Leave to Am. Compl., with supporting exhibits: R. at 155-340 (Ex. A-E); R. at 341-93 (Ex. F-P); R. at 481-507 (Ex. Q-W)). In addition, it became apparent that numerous misrepresentations were made by Appellee and Defendant Clarke during the course of the transaction. *See* R. at 846-51(¶¶75.51-75.90); *see also* R. at 397-403 (Pl. Am. M. for Leave to Am. Compl., with supporting exhibits: R. at 155-340 (Ex. A-E); R. at 341-93 (Ex. F-P); R. at 481-507 (Ex. Q-W)).

The misrepresentations by Appellee were detailed in Appellants' Amended Motion for Leave to Amend Complaint and supported by multiple exhibits. *See* R. at 397-403; R. at 155-340 (Ex. A-E); R. at 341-93 (Ex. F-P); R. at 481-507 (Ex. Q-W). After the trial court granted Appellants' Amended Motion, the Appellants filed their Third Amended Complaint, which added two counts for fraudulent and negligent misrepresentation against Defendant Clarke and two counts for fraudulent and negligent misrepresentation against Appellee. R. at 846-51 (Counts I(D) and Counts I(E) against Appellee).

Counts I(D) and I(E) against Appellee comprise almost six pages and thirty-nine paragraphs. R. at 846-51 (¶¶75.51-75.90). More specifically, Appellants' Counts I(D) and I(E), set out, with great particularity, allegations

of seven separate material fraudulent or negligent misrepresentations, made by Appellee or her agents, and Appellee's knowledge:

(1) The misrepresentation that they would be able to provide $475,000 to close the loans, as shown by the Pre-Approval Mortgage Certificate, which was requested by Appellee, created by the Loan Broker/Processor, and then transmitted to Defendants Cintron and Melman (Clarke's real estate agent and Appellants' real estate agent). R. at 846-47 (¶¶75.53-75.56); R. at 849-50 (¶¶75.73-75.76).

(2) The misrepresentation that they would be able to provide $471,250 to close the loans, as shown by the two October 6, 2022, Purchase Contracts signed by Defendant Clarke and transmitted to Defendants Cintron and Melman, R. at 847 (¶¶75.55-75.60); R. at 849-50 (¶¶75.75-75.80)—but when Appellee and Defendant Clarke knew that, before withdrawing funds to cover the Escrow Deposits, they had only $581,000(CAD)/$424,000(US) in their two jointly held checking and savings accounts in their Canadian bank—and when they knew that they intended to withdraw about $100,000(CAD)/ $73,000(US) from their joint accounts over the course of the next month (October 7-November 8, 2022), in $12,000, $12,500, and $9500 (CAD) increments, with each increment above $10,000

divided into smaller sums of $3000 and $9000/$9500 (CAD).

Their funds came from the sales of their investment property in Canada, with Appellee handling the sales of their investment property and transfer of the funds to their US accounts. R. at 495, 498 (Appellee's December 3, 2022, email stating: "the loan I was seeking was an investment only loan"; "we sold our investment property in Canada" "and took the profits down here in hopes of finding an investment that we could continue our small scale - small business idea"); *See also* R. at 371, 373 (Defendant Clarke's December 5, 2022, email stating same); R. at 402 (Pl. Am. M. for Leave to Am. Compl., Ex. B (R. at 313-14, 319))(Appellee stating: "We close on our first property on Thursday so I can start transferring to our US account the following day.") ("I want to make sure I have everything we need converted over from CAD to our US account").

(3) The misrepresentation by omission that they were pursuing the purchase of two properties other than the two Duplexes, including properties in Englewood, North Port, and Venice, which ultimately culminated with the purchase of two other properties: 2734 Ashland Lane, North Port, Florida (purchased on March 3, 2023, for $440,000) and 208 Loyola Road, Venice, Florida (purchased on April 20, 2023, for $315,000), with Appellee and her

husband taking title to both properties as husband and wife (tenants by the entirety). R. at 848 (¶75.61); R. at 850 ¶75.81).

Appellee was significantly involved in the search for these properties, as shown by extensive texts between Appellee and the Loan Broker/Processor regarding properties available in Englewood and Manasota Key in August-September 2022. R. at 311-12 (Pl. Am. M. for Leave to Am. Compl., Ex. B); R. at 358-68 (Pl. Am. M. for Leave to Am. Compl., Ex. C). They also briefly discussed another property in January 2023. R. at 327.

(4) The misrepresentation that they were seeking a conventional loan based on borrower income, as shown by the two Purchase Contracts, when in fact they were seeking a "niche product", a Debt Service Coverage Ratio (DSCR) investment loan based on the Duplexes' ability to produce rental income. R. at 848 (¶75.62); R. at 850 (¶75.82). As stated above, Appellee was well aware that they were seeking investment loans based on rental income, before and after the signing of the contracts, as shown by texts and emails between Appellee and the Loan Broker/Processor. *See, e.g.,* R. at 355 (Loan Broker/Processor stating to Appellee: "this is not a standard/traditional loan. We are not using income to qualify for the loan.");

see also R. at 355-68 (extended discussion between Appellee and Loan Broker/Processor regarding rental values); R. at 495, 498 (Appellee's December 3, 2022, email, "investment property", "small business").

(5) The misrepresentation that they had the funds and the loans to close, as shown by the two Loan Commitments, which showed loan approvals of $656,250 and $622,500, totaling $1,278,750, and thus leaving $471,250 to be provided at closing—but when they knew or should have known on November 8, after withdrawing about $100,000(CAD)/ $73,000(US) from their two jointly held checking and savings accounts, they only had $410,000(CAD)/ $299,000(US) remaining. R. at 848 (¶¶75.63-75.64); R. at 850-51 (¶¶75.83-75.84). *See also* R. at 376-83 (Pl. Am. M. for Leave to Am. Compl., Ex. L (bank statements showing Appellee's joint ownership of funds).

(6) The misrepresentations throughout November that they would close, even when the "numbers were not working" and the loan broker/processor had created Loan Denials late on November 14, 2022, at their request. R. at 848 (¶¶75.65-75.66); R. at 851 (¶¶75.85-75.86). Appellee expressly cast doubt on the loan amounts in her text to the Loan Broker/Processor on the evening of November 14. *See* R. at 400-02 (Pl. Am.

M. for Leave to Am. Compl., Ex. B (R. at 325)(Appellee's text to the Loan Broker/Processor: "We were expecting to put 20% down but with these number amounts on the loan commitments it's coming out around 73% loan which we're not prepared for 27% down payment.")).

(7) The misrepresentations that they had the funds to close, when they knew or should have known that remaining sum in their two jointly held checking and savings accounts, $410,000(CAD)/$299,000(US), was insufficient to close the two purchases. R. at 847-48 (¶¶75.54-75.61; 75.63-75.66); R. at 850-51 (¶¶75.74-75.81; ¶¶75.83-75.86).

Appellee's or Appellee's agent's misrepresentations were intended to induce Appellants to rely upon those representations. R. at 848 (¶¶75.67); R. at 851(¶¶75.87). Appellants relied and justifiably relied upon Appellee's and Appellee's agents misrepresentations. R. at 849 (¶¶75.69); R. at 851 (¶¶75.89). Further, Appellants incurred compensatory damages for the Duplexes' lost value and the Plaintiffs' carrying costs. R. at 849 (¶¶75.70); R. at 851 (¶¶75.90). Reliance and damages were pleaded to place Defendants on notice, as required.[5]

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[5] Although Appellants are not required to set out their reliance and damages in detail at the pleading stage, they did so in response to

Appellee and Defendant Clarke filed their Motion to Dismiss on February 2, and as it relates specifically to Appellee, argued regarding both Count I(D) and I(E):

> [T]here is no allegation that [Appellee] ever made any statements to either [Appellant]. She signed no documents, entered into no contracts, and made no affirmative statements that [Appellants] heard or relied upon. And, of course, again, there are no valid or quantifiable damages alleged.

R. at 882. Appellee also incorporated arguments made in the Motion to Dismiss relating to Defendant Clarke, Counts I(B) and I(C), for fraudulent and negligent misrepresentation, arguing, for example, that Appellants' allegations were "conclusory", that the allegations were based only on the "mortgage commitments", that there was "no detrimental reliance", and that "there are no damages alleged". R. at 879-82.

The trial court, ruling from the bench, ruled:

> [Counts] I(D) and I(E). Allright. To the very best that I can tell reading this complaint, the allegation of Mrs. Clarke is that essentially **the statement**, because she's being sued for fraudulent and negligent misrepresentation, is that Mr. Clarke has the ability to close on this transaction in sum

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Defendant Cintron/Platinum's Motion for Summary Judgment, providing a detailed explanation of their reliance as well as an appraisal to show lost value and their declarations to show, in part, their carrying costs.

and substance. **That's the sum of the fraudulent misrepresentation and negligent misrepresentation, that Mr. Clarke has the ability or the funds to close on this transaction.**

These statements were not actually made by her to the plaintiffs. She is not a party to the contract or the transaction in any way, shape, or form. That doesn't mean that she can't be sued for a tort, but **she's not involved in this transaction in any way, shape, or form directly or indirectly**, that the Court can tell.

Simply by her being involved in the procurement of loan documents does not expose her to this kind of liability, so I'm going to be dismissing both of these counts, too. **I could find no series of facts in this case for which she could possibly be liable for fraudulent or negligent misrepresentation based on these statements.**

I do not miss, and I include in that concept, that throughout the pleading, those statements are asserted to other people, including Mr. Clarke. Those statements are, at times, within this pleading merged, and the statements are made as being both Mr. and Mrs. Clarke together. There are **some suggestions that it's her money and her account**, which doesn't -- can't be -- **it can't be true** under the rest of the facts and circumstances.

Anyway, to say it's a mess is an understatement, but I can't find any reasonable way to read those paragraphs as anything that could ever result in a claim against Mrs. Clarke, so I'm dismissing (D) and (E) with prejudice, as well.

R. at 1261-62 (emphasis added).

SUMMARY OF ARGUMENT

The Second District has jurisdiction to review the partial final judgment entered in this case on March 19, 2026, which "totally dispose[d] of [the]

entire case" against Appellee, Counts I(D) and (E). *See* Fla. R. App. P. 9.030(b)(1)(A) (jurisdiction to review final judgment); Fla. R. App. P. 9.110(k) (partial final judgment reviewable when it totally disposes of entire case against party). The review of "an order granting a motion to dismiss is de novo." *Nguyen v. Perspective Global LLC,* 387 So. 3d 1265, 1268 (Fla. 2d DCA 2025); *Schmidt v. Gulf Coast Holdings, LLC,* 419 So. 3d 1157, 1159 (Fla. 2d DCA 2025).

First, this Court should find that the trial court failed to apply the proper legal standard in evaluating Appellee's Motion to Dismiss. The trial court did not "confine itself to the four corners of the complaint, accept the allegations of the complaint as true, and construe the allegations in the light most favorable to the plaintiff." *Nguyen*, 387 So. 3d at 1269, 1270; *see also Schmidt*, 419 So. 3d at 1161. Rather, the trial court attempted to "determine the factual issues" rather that simply "test the legal sufficiency of the complaint". *See Schmidt*, 419 So. 3d at 1161. The trial court did not attempt to determine whether the plaintiff "sufficiently pleaded" and "adequately alleged" the elements of each count. *See Nguyen*, 387 So. 3d at 1269.

Second, on de novo review, this Court should find that Appellants'

Third Amended Complaint adequately pleaded their fraudulent misrepresentation and negligent misrepresentation counts against Appellee, stating ultimate facts and facts with particularity as required per Florida Rules of Civil Procedure 1.110(b)(2)("ultimate facts"); 1.120(b)("particularity" regarding fraud). Specifically, Counts I (D) and I (E) against Appellee, comprising almost six pages and forty paragraphs, adequately and particularly alleged that Appellee, acting as either a principal or agent along with her husband Defendant Clarke. As explained in detail below, Appellee, acting as principal or agent, made seven material fraudulent or negligent misrepresentations or omissions, with the intention that Appellants rely on those misrepresentations and omissions, and Appellants relied (or justifiably relied), suffering damages in the form of the Duplexes' lost value and carrying costs. Per Florida Rule of Civil Procedure 1.110(g), "[p]leadings must be construed so as to do substantial justice", and Appellants should have the opportunity to place their case against Appellee before a jury.

ARGUMENT

I. THE TRIAL COURT DID NOT APPLY THE PROPER LEGAL STANDARD TO DETERMINE WHETHER APPELLEE'S MOTION TO DISMISS SHOULD BE GRANTED.

As noted in part above, in "ruling on a motion to dismiss, the trial court

must confine itself to the four corners of the complaint, accept the allegations of the complaint as true, and construe the allegations in the light most favorable to the plaintiff." *Nguyen,* 387 So. 3d 1269, 1270 (citing Second District cases)(holding plaintiff adequately pled her complaint); *see also Schmidt,* 419 So. 3d at 1161 (citing Second District cases)(holding plaintiff adequately pled her complaint). The court must then determine whether the plaintiff "sufficiently pleaded" and "adequately alleged" the elements of each count. *See Nguyen,* 387 So. 3d at 1269. *See also* R. at 963 (Appellants' trial court brief quoting motion to dismiss standards); R. at 1217:10-21 (Appellants arguing these standards at hearing).

Notably, Appellee's Motion to Dismiss failed to recite any of the relevant motion to dismiss standards (*see* R. at 871), and as a result, Appellee failed to apply those standards in her argument (*see* R. at 882, *see also* R. at 879-82, incorporated by reference). Rather than staying within the "four corners of the complaint", and rather than accepting Appellants' allegations "as true", and rather than construing the Appellants' allegations "in the light most favorable" to Appellants, Appellee chose instead to argue the facts without accepting the actual allegations stated in the Third Amended Complaint as true or in a light most favorable to Appellants. *See*

R. at 882 (stating, for example, that there was "no allegation that [Appellee] ever made any statements to either [Appellant]", that she made no statements Appellants "relied upon" and there were "no valid or quantifiable damages alleged"); *see also* R. at 879-82, incorporated by reference (stating, for example, that Appellants' allegations are "conclusory", they are based on the "mortgage commitments", and that there was "no detrimental reliance").[6]

Similarly, the portion of the trial court Order pertaining to Appellee also makes no reference to the relevant motion to dismiss standards. *See* R. at 1262-63; *see generally* R. 1161-1264 (no application of standards); *but see* R. 1186, 1217 (court mentions "four corners" twice in relation to Defendants' other motions).

Rather, the Order reduces Appellants' allegations regarding Appellee's seven material misrepresentations or omissions to a single allegation

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[6] Even so, Appellee's counsel did mention one portion of the standards twice in his oral argument. R. at 1165 (accept pleadings as "true"); R. at 1172 ("taking all allegations" "as true"). However, he did not apply those standards, choosing instead to argue the facts. *See, e.g.,* R. at 879-82 (Appellee arguing that Appellants' allegations were "conclusory", that they were based only on the "mortgage commitments", that there was "no detrimental reliance", and that "there are no damages alleged").

relating to whether "Mr. Clarke has the ability or the funds to close on this transaction." R. at 1262:5-12. Instead of accepting the facts as true and construing the facts in a light most favorable to Appellants, the trial court concluded:

> [the Appellee is] **not involved in this transaction in any way**, shape, or form, **directly or indirectly**, that the Court can tell. Simply by her **being involved in the procurement of loan documents** does not expose her to this kind of liability, so I'm going to be dismissing both of these counts, too.
>
> I could find **no series of facts in this case** for which she could possibly be liable for fraudulent or negligent misrepresentation based on these statements. I do not miss, and I include in that concept, that throughout the pleading, **those statements are asserted to other people, including Mr. Clarke**. Those statements are, at times, within this pleading merged, and the statements are made as being both Mr. and Mrs. Clarke together. There are **some suggestions that it's her money and her account**, which doesn't -- can't be -- **it can't be true** under the rest of the facts and circumstances. . . . Anyway to say it's a mess is an understatement, but **I can't find any reasonable way to read these paragraphs as anything that could ever result in a claim against [Appellee],** so I'm dismissing [Count I (D)] and [Count I(E)] with prejudice.

R. at 1262:17-25; at 1263:1-12,18 (emphasis added). The Order apparently overlooks that misrepresentations were made by Appellee **or her agents**, and that facts may be pleaded "in the alternative" and may lack "consistency" and that "[a]ll pleadings must be construed so as to do substantial justice." Fla. R. Civ. P. 1.110(g).

As shown in Section II below, Appellants' allegations against Appellee for fraudulent and negligent misrepresentation involved more than just a single statement or conduct regarding funds or loans and ability to close the transaction—they involved multiple statements and omissions occurring over the course of many months, from August 2022 to April 2023. R. at 846-48 (¶¶75.53-75.67)(fraudulent misrepresentation count); R. at 849-51 (¶¶75.73-75.87)(negligent misrepresentation count).

The Appellee was involved in all aspects of the transaction, working with her husband Defendant Clarke either as principal or his agent in this transaction. *See* R. at 846-48 (¶¶75.53-75.67)(fraudulent misrepresentation count); R. at 849-51 (¶¶75.73-75.87)(negligent misrepresentation count); *see also* R. at 971-73 (Pl. Response to Def. M. to Dismiss); R. at 397-403 (Pl. Am. M. for Leave to Am. Compl., with exhibits, providing detailed support for the allegations against Appellee).

As for account ownership, the documents produced by Defendant Clarke showed that the accounts providing the funds for the transaction were jointly owned by him and his wife, the Appellee. *See* R. at 847-48 (¶¶75.55-56, 75.59-60, 75.63-64, 75.66)(fraudulent misrepresentation count); R. at 849-51 (¶¶75.75-76, 75.79-80, 75.83-84, 75.86)(negligent

misrepresentation count); *see also* R. at 971-73 (Pl. Response to Def. M. to Dismiss); R. at 401-402 (Pl. Am. M. for Leave to Am. Compl. (with Ex. L (R. at 376-83) (Ex. L); R. at 481-87 (Ex. Q) (bank statements showing ownership of funds).

The short of it: the Order and conclusions regarding Appellee run counter to the Third Amended Complaint's allegations—even though those allegations must be accepted "as true" and viewed "in the light most favorable" to Appellants. To find that Appellee was "not involved in this transaction in any way", "directly or indirectly", to conclude that Appellee cannot be "exposed" "this kind of liability", to conclude that allegations "can't be true", and to ultimately conclude that there's no "reasonable way to read these paragraphs as anything that could ever result in a claim against [Appellee]", demonstrates that the trial court did not accept the allegations within the Complaint as true, and did not construe the allegations in the light most favorable to Appellant, and then did not confine its task to determining whether the elements of each counts were "sufficiently pleaded".

II. APPELLANTS' THIRD AMENDED COMPLAINT SUFFICIENTLY PLEADED FRAUDULENT MISREPRESENTATION AND NEGLIGENT MISREPRESENTATION AGAINST APPELLEE, STATING ULTIMATE FACTS AND FACTS WITH PARTICULARITY AS REQUIRED.

This Court should find that Appellants' Third Amended Complaint sufficiently pleaded the fraudulent and negligent misrepresentation against Appellee. The seven separate and material misrepresentations or omissions by Appellee or her agents constituting fraudulent or negligent misrepresentations are set out in detail in Count I(D) (fraudulent misrepresentation) and Count I(E) (negligent misrepresentation). *See* R. at 846-49 (Count I(D)); R. at 849-51 (Count I(E)). Considering the overlap between the two misrepresentation Counts, for brevity the Subsection B arguments below rely significantly on the arguments made in Subsection A.

A. Appellants Sufficiently Pleaded Fraudulent Misrepresentation, Stating with Great Particularity Seven Separate Material Misrepresentations or Omissions by Appellee or Her Agents; that Appellee Knew or Should Have Known Her or Her Agent's Representations Were False; that Appellee or Her Agents Intended Appellants to Rely upon Their Misrepresentations; and that Appellants Did Rely, Causing Them to Suffer Damages.

To state a claim for fraudulent misrepresentation, a plaintiff must allege facts relating to four elements: "(1) a false statement concerning a material fact; (2) the representer's knowledge that the representation is false; (3) an intention that the representation induce another to act on it; and

(4) consequent injury by the party acting in reliance on the representation." *Grimes v. Lottes*, 241 So. 3d 892, 896 (Fla. 2d DCA 2018). Further, "[f]raud also includes the intentional omission of a material fact." *Ward v. Atlantic Security Bank,* 777 So. 2d 1144, 1146 (Fla. 3d DCA 2001). The knowledge element is also satisfied when the statement is made "without knowledge of its truth or falsity" or when the "representer ought to have known of the falsity" of the statement. *Thor Bear, Inc. v. Crocker Minzer Park, Inc.,* 648 So. 2d 168, 172 (Fla. 4th DCA 1994).

Viewed as a whole, the fraudulent misrepresentation count against Appellee (Count I(D)) spans three pages and includes twenty paragraphs. R. at 830-70 (¶¶75.51-75.70). Count I(D) uses sixteen paragraphs to show Appellee made "false statement[s] concerning a material fact" (or "the intentional omission of a material fact"), the Appellee's "knowledge that the representation is false" (or that Appellee "ought to have known of the falsity"), and that the Appellee possesses the "intention that the representation induce another to act on it." R. at 846-49 (¶¶75.53-75.68).

Appellants base Count I(D) on seven separate material misrepresentations or omissions made by Appellee or her agents, and set out these facts with the required particularity. Appellee knew or should have

known her misrepresentations were false, or Appellee was without knowledge of the truth or falsity of the misrepresentations made by her or her agents: (1) the misrepresentation that they would have at least $475,000 to close the transactions, as shown by the Pre-Approval Mortgage Certificates, R. at 846-47 (¶¶75.53-75.56); (2) the misrepresentation that they would have $471,250 to close the two transactions, as shown by the two Purchase Contracts, R. at 847 (¶¶75.57-75.60); (3) the misrepresentation by omission that they were purchasing the two Duplexes, when they were actually pursuing and ultimately purchasing two properties other than the two Duplexes, R. at 848 (¶75.61); (4) the misrepresentation that they were seeking a conventional loan, when in fact they were seeking a "niche product", a Debt Service Coverage Ratio (DSCR) investment loan, R. at 848 (¶75.62); (5) the misrepresentation that they had secured their financing, as shown by the two Loan Commitments, R. at 848 (¶¶75.63-75.64); (6) the continual misrepresentation throughout November that they would close, even when the "numbers were not working", R. at 848 (¶¶75.65-75.66); and (7) the continual misrepresentations that they had the funds to close, when they knew or should have known they did not, R. at 847-48 (¶¶75.54-75.61; 75.63-75.66).

Per *Nuygen* and *Schmidt*, these allegations should have been accepted "as true", and construed "in the light most favorable" to the Appellants, and found to be "sufficiently pleaded." However, both Appellee and the trial court apparently overlooked that the Complaint alleged that Appellee was "acting as principal or Mr. Clarke's agent" (R. at 852-53 (¶¶75.53-75.68)) and that Appellee could thus be liable as a principal for the fraudulent and negligent misrepresentations, even if she did not personally make statements to Appellants.

See, e.g., Whigham v. Muehl, 500 So. 2d 1374, 1378, 1380 (Fla. 1st DCA 1987)(finding wife "was not only an equal partner with her husband in the original business venture, but she also had actual knowledge of the funds transmitted . . . which were used in furtherance of the business venture. [She] was active in the conduct of the business, and personally took care of the family and business banking affairs. . . . [T]he communications and representations made by [her husband] to [plaintiff] over a two to three year period are imputed to [her]. . . . [and] she received the benefit of [plaintiff's] contributions to the business."); *Millstein v. Holtz*, No. 21-CV-61179-RAR, 2022WL4017172 *4-5 (S.D. Fla. Sept. 2, 2022) (denying motion to dismiss and following *Whigham*, finding defendant could be liable

even if he never personally made misrepresentations because he could be held liable for misrepresentations by his partners); *Nguyen v. Perspective Global LLC,* 387 So. 3d 1265, 1269-70 (Fla. 2d DCA 2025) (reversing granting of motion to dismiss, finding defendant's agents made representations on behalf of defendant business and defendant could be liable).

Rather, Appellee argued and the trial court found that Appellee did not actually make direct misrepresentations to Appellants, with neither the Appellee or trial court taking into account that Appellee was a principal acting with her husband Defendant Clarke. *See, e.g.,* R. at 882 (Appellee stating in her Motion: "there is no allegation [Appellee ever made any statements to either [Appellant]. She . . . "made no affirmative statements that Plaintiffs heard or relied upon."); R. at 1262:13-14 (trial court stating in its Order, "These statements were not actually made by her to [Appellee]."); *but see* R. at 961n.1; R. at 971, ¶45 (Pl. Reply arguing Appellee was principal or agent).

Here, Appellee and Defendant Kevin Clarke were not only wife and husband, they were also business partners, as evidenced by their attempt to obtain a DSCR investment loan and Appellee's and Defendant Clarke's

emails. R. at 495, 498 (Appellee's December 3, 2022, email stating: "the loan I was seeking was an investment only loan"; "we sold our investment property in Canada" "and took the profits down here in hopes of finding an investment that we could continue our small scale - small business idea"); R. at 371, 373 (Defendant Clarke's December 5, 2022, email stating: "the loan I was seeking was an investment only loan"; "we sold our investment property in Canada" "and took the profits down here in hopes of finding an investment that we could continue our small scale - small business idea").

As the Loan Broker/Processor stated in her deposition, "I think I mainly communicated with [Appellee], not so much [her husband]."). R. at 181:13-14 (Pl. Am. M. for Leave to Am. Compl., Ex. A, 27:13-14)**.**

First, as one of three examples, Appellee was actively involved in obtaining and transmitting the Pre-Approval Mortgage Certificate from the Loan Broker/Processor that led Appellants to believe that Appellee and her husband had $475,000 to put into the purchase of the two Duplexes. R. at 846-47 (¶¶75.53-75.56). Appellee, not her husband, was the one who emailed the Loan Broker/Processor to request the Pre-Approval Mortgage Certificate. R. at 355 (Pl. Am M. for Leave to Am. Compl., Ex. I at 2). Appellee wrote: "[Defendant Cintron, the Clarkes' real estate agent,]

mentioned in order to see the property Friday she needs proof of funding, requested by the Buyers. Our names don't need to be on it she said, just some sort of proof to show we're serious I guess. Is that something you can provide her?" *Id.* In response to Appellee's request, the Loan Broker/Processor created a Pre-Approval Mortgage Certificate stating that they could provide $475,000 to close the transaction. R. at 178 (Pl. Am M. for Leave to Am. Compl., Ex. A, 24:1-18 (Loan Broker/Processor Depo.); *see also* R. at 330 (Pl. Am M. for Leave to Am. Compl., Ex. C (Pre-Approval Mortgage Certificate))

Second, Appellee was actively involved in seeking a "niche product" investment loan---a Debt Service Coverage Ratio (DSCR) loan (R. at 848 (¶75.62))—even though both Purchase Contracts represented that they were seeking a conventional loan (*See* R. at 848 (¶75.62) (R. at 850 (¶75.82)); *see also* Complaint, Ex. C and Ex. D (two Purchase Agreements). Appellee was well aware that they were seeking an investment loan based on the properties' rental income, and she communicated frequently with the loan broker/processor by email about the properties' potential rental income, which were key to securing a DSCR loan. *See* R. at 355 (as the Loan Broker/Processor stated to Appellee: "this is not a standard/traditional loan.

We are not using income to qualify for the loan."); *see also* R. at 355-68 (extended discussion between Appellee and Loan Broker/Processor regarding rental values).

And third, Appellee was actively involved in the pursuit and purchase of investment properties in Sarasota County to replace the investment properties sold in Canada, which ultimately culminated with Appellee's and Defendant Clarke's purchase of two properties other than the two Duplexes. R. at 848 (¶75.61). Appellee engaged the Loan Broker/ Processor in an extensive discussion regarding properties available in Englewood and Manasota Key in August-September 2022. R. at 311-12 (Pl. Am. M. for Leave to Am. Compl., Ex. B); R. at 358-68 (Pl. Am. M. for Leave to Am. Compl., Ex. C). They also briefly discussed another property in January 2023. R. at 327. Thus, from August 2022-April 2023, Appellee and her husband pursued the purchase of several properties, not just the two Duplexes, including properties in Englewood, North Port, and Venice. Their pursuit ultimately led to the purchase of two other properties: 2734 Ashland Lane, North Port, Florida (purchased on March 3, 2023, for $440,000) and 208 Loyola Road, Venice, Florida (purchased on April 20, 2023, for $315,000). R. at 848; R. at 346, 348 (Pl. Am. M. for Leave to Am. Compl.,

Ex. G at 1,3) (Sarasota County Property Records). **Appellee and her husband took title to both properties as husband and wife (tenants by the entirety)**. R. at 350, 352 (Pl. Am. M. for Leave to Am. Compl., Ex. H at 1,3) (Sarasota County Property Records).

Thus, as shown by these three examples, like the spouse and partners in *Whigham*, *Millstein*, and *Nguyen*, Appellee had "actual knowledge", she was "active in the conduct" of the transactions, she "personally" handled many aspects of the transactions, and she personally benefited from the transactions. (Appellants' Amended Motion for Leave to Amend Complaint provides an extensive explanation as to why Appellee is a proper Defendant in this lawsuit, R. at 397-403, identifying many supporting exhibits, R. at 155-340 (Ex. A-E); R. at 341-93 (Ex. F-P); R. at 481-507 (Ex. Q-W).)

Finally, addressing the last element that must be alleged for a fraudulent misrepresentation count, the portion of the trial court Order relating to the Appellee, R. at 1262-63, makes no comments regarding "reliance" or "damages" in dismissing Count I(D) for fraudulent misrepresentation. R. at 1262-63. Appellee, however, rather than accepting Appellants' allegation of reliance and damages as true, asserted that

Appellee made no statements that Appellants "relied upon" and that there are "no valid or quantifable damages alleged", R. at 882.

Count I(D) alleges the Appellants' "consequent injury" (damages) "in reliance" on Appellee's misrepresentations with sufficient depth, stating that Appellants "relied upon the representations of material facts, made individually and by her agents," and that Appellee is liable to Appellants for "compensatory damages for the Duplexes' lost value and [Appellants'] carrying costs." R. at 849 (¶¶75.69-75.70).

An allegation of reliance in a complaint is typically taken at face value as establishing the pleading of the reliance element. *See Billington v. Ginn-La Pine Island, Ltd., LLLP*, 192 So. 3d 77, 79 (Fla. 5th DCA 2016) ("Appellant correctly argues that he alleged reliance, which is itself a sufficient allegation to survive a motion to dismiss").

Regarding damages, at least one court has found that "in a fraud action involving realty the standard measure of damages is "out-of-pocket" loss or "benefit of the bargain" . . . and a **decline in market value is general, not special, damages.**" *9740 W. Bay Harbor Dr., LLC v. Bay Harbour Inv., Inc.,* No. 3D25-1232, 2026 WL 2248521 *3 (Fla. 3d DCA

August 5, 2026) (emphasis added). If damages are considered "special damages", they "shall be specifically stated." Fla. R. Civ. P. 1.120(g).

Here, Appellants sufficiently pleaded "reliance" in Count I(D). R. at 849 (¶75.69). As for damages, whether considered as general or special damages, the language used in Count I(D) is sufficient to place Appellee on notice as to the damages Appellants seek, namely the lost value of the Duplexes when the Appellee and her husband refused to close the transactions (the difference between the sum contracted for and the current appraised value, a benefit-of-the-bargain approach) and Appellants "carrying costs" (costs Appellants have incurred as a result of the Appellee and her husband's refusal to close, minus rental income over the same time period).[7]

Both lost value and carrying costs are proper measures of damages in this instance. *See Nordyne v. Fla. Mobile Home Supply Inc.*, 625 So. 2d 1283, 1286 (Fla. 1st DCA 1993) (emphasis added) (citation omitted) (citing

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[7]In response to Defendant Cintron/Platinum's recent Motion for Summary Judgment, Appellants provided a comprehensive appraisal of the two Duplexes to establish the lost value and provided a current, but partial, sum for carrying costs, based on mortgage payments, taxes, insurance and other costs relating to the two Duplexes. Those documents will shortly become part of the Record in the related Second District case, *Patterson et al v. Cintron et al*, No. 2D2026-2576, an appeal regarding the grant of the Motion for Summary Judgment.

Restatement of Torts (Second) §549) ("the goal is to restore the injured party to the position it would have been in had the wrong not been committed . . . . [either the] 'out-of-pocket' or the 'benefit-of-the-bargain' rule [may be applied,] depending upon which is more likely fully to compensate the injured party."

Under the benefit-of-the-bargain rule, the "measure of damages for fraudulent misrepresentation is the pecuniary loss suffered as a result of the recipient's reliance on the misrepresentation." *Steinbauer Assoc., Inc., v. Smith*, 599 So. 2d 746, 748 (Fla. 3d DCA 1992) (emphasis added) (citing Restatement of Torts (Second) §549(1)(b)) (cited in *Alternative Materials LLC v. Monroe*, No. 5:20-cv-239-AW/MJF 2023 WL 3776251 (N.D. Fla. April 24, 2023)).

B. Appellants Sufficiently Pleaded Negligent Misrepresentation, Stating with Great Particularity Seven Separate Material Misrepresentations or Omissions Made by Appellee or Her Agents; that Appellee Knew, Should Have Known, or was Without Knowledge of the Truth or Falsity that Her or Her Agent's Representations Were False; that Appellee or Her Agents Intended Appellants to Rely upon Their Misrepresentations; and that Appellants Did Justifiably Rely, Causing Them to Suffer Damages.

To state a claim for negligent misrepresentation, a plaintiff must allege facts relating to four elements: (1) "a misrepresentation of material fact; (2)

the representer either knew of the misrepresentation, made the representation without knowledge of its truth or falsity, or should have known the representation was false; (3) the representer intended to induce another to act on the misrepresentation; and (4) injury resulted to a party acting in justifiable reliance on the representation." *Gallon v. Geico Gen. Ins. Co.*, 150 So. 3d 252, 254 (Fla. 2d DCA 2014).

Viewed in its entirety, the negligent misrepresentation count against Appellee (Count I(E)), covers about three pages and twenty paragraphs. R. at 849-51 (¶¶75.71-75.90). Count I(E) relies upon sixteens paragraphs to show Appellee made "false statement[s] concerning a material fact" (or "the intentional omission[s] of a material fact"), the Appellee's "knowledge that the representation is false" (or that the Appellee "ought to have known of the falsity"), and that Appellee possesses the "intention that the representation induce another to act on it". R. at 849-51 (¶¶75.73-75.87).

Similar to Count I(D) discussed in Subsection A above, Appellants base Count I(E) for negligent misrepresentation on the same seven separate material misrepresentations or omissions made by Appellee or her agents, and sets out these facts with the required particularity. Appellee knew or should have known her misrepresentations were false, or Appellee was

without knowledge of the truth or falsity of the misrepresentations made by her or her agents: (1) the misrepresentation that they would have at least $475,000 to close the transactions, as shown by the Pre-Approval Mortgage Certificates, R. at 849 (¶¶75.73-75.76); (2) the misrepresentation that they would have $471,250 to close the two transactions, as shown by the two Purchase Contracts, R. at 850 (¶¶75.77-75.80); (3) the misrepresentation by omission that they were purchasing the two Duplexes, when they were actually pursuing and ultimately purchasing two properties other than the two Duplexes, R. at 850 (¶75.81); (4) the misrepresentation that they were seeking a conventional loan, when in fact they were seeking a "niche product", a Debt Service Coverage Ratio (DSCR) investment loan, R. at 850 (¶75.82); (5) the misrepresentation that they had secured their financing, as shown by the two Loan Commitments, R. at 850-51 (¶¶75.83-75.84); (6) the continual misrepresentation throughout November that they would close, even when the "numbers were not working", R. at 851 (¶¶75.85-75.86); and (7) the continual misrepresentations that they had the funds to close, when they knew or should have known they did not, R. at 849-51 (¶¶75.74-75.81; 75.83-75.86).

Per *Nuygen* and *Schmidt*, as discussed in Subsection A above, these

allegations should have been accepted "as true", and construed "in the light most favorable" to Appellants, and found to be "sufficiently pleaded." Again, both Appellee and the trial court apparently overlooked that Appellee could be liable as a principal for the fraudulent and negligent misrepresentations, even if she did not personally make statements to Appellants. *See, e.g., Whigham,* 500 So. 2d at 1378; *Millstein*, 2022WL4017172 at *4-5; *Nguyen,* 387 So. 3d at 1269-70 (discussed in Subsection A above).

As explained in Subsection A above, Appellee and Defendant Clarke were not only wife and husband, they were business partners, as evidenced by their attempt to obtain a DSCR investment loan and Appellee's and Defendant Clarke's emails. R. at 495, 498 (Appellee's December 3, 2022, email stating: "the loan I was seeking was an investment only loan"; "we sold our investment property in Canada" "and took the profits down here in hopes of finding an investment that we could continue our small scale - small business idea"); R. at 371, 373 (Defendant Clarke's December 5, 2022, email stating: "the loan I was seeking was an investment only loan"; "we sold our investment property in Canada" "and took the profits down here in hopes of finding an investment that we could continue our small scale - small business idea"). According to the Loan Broker/Processor, she "mainly

communicated with [Appellee], not so much [her husband].”). R. at 181:13-14 (Pl. Am. M. for Leave to Am. Compl., Ex. A, 27:13-14).

To add to the three examples in Subsection A that demonstrate Appellee’s involvement in the transactions, Appellee was actively involved in the financial aspects of the purchase of the two Duplexes, and the funds for the down payment were coming from her joint accounts with her husband, and these points were sufficiently pleaded in the Third Amended Complaint. *See* R. at 971-72; R. at 849-51 (¶¶75.73-75.80, 75.82-75.86). For example, Appellee was responsible for obtaining the Pre-Approval Mortgage Certificate, submitting the loan application, providing loan documents, selecting the loan program, following up on appraisals and insurance. *See*, *e.g.,* R. at 849 (¶¶75.73-75.74); *see also* R. at 399-400 (Pl. Am. M. for Leave to Am. Compl., Ex. B[8] (R. at 310, 313-14, 317, 319, 324) (“Any word back on that appraisal?”)(“any news on insurance? Just wondering if you could give me an estimate of funds we will need at closing . . . .”)).

Appellee was responsible for the sale of their Canada investment

[8] Exhibit B (R. at 310-29) to Plaintiffs’ Amended Motion for Leave to Amend Complaint (R. at 394-476) is comprised of texts exchanged from August 2022-January 2023 between the Appellee and the Loan Broker/Processor (Ms. Barbara Paleologos).

properties and the transfer of funds to the United States. *See, e.g.,* R. at 849-50 (¶¶75.75-75.80); *see also* R. at 402 (Pl. Am. M. for Leave to Am. Compl., Ex. B (R. at 313-14, 319)("We close on our first property on Thursday so I can start transferring to our US account the following day.") ("I want to make sure I have everything we need converted over from CAD to our US account"). Appellee was knowledgeable regarding the sums held in their joint bank accounts. *See*, *e.g.,* R. at 849-50 (¶¶75.75-75.76; 75.79-75.80); *see also* R. at 401-02 (Pl. Am. M. for Leave to Am. Compl., Ex. B (R. at 313-14, 319)). Appellee knew that the financing "numbers" were not working and knew specific details about the financing and loan commitments. *See, e.g.,* R. at 850-51 (¶¶75.83-75.86); *see also* R. at 400-02 (Pl. Am. M. for Leave to Am. Compl., Ex. B (R. at 325)(Appellee's text to the Loan Broker/Processor: "We were expecting to put 20% down but with these number amounts on the loan commitments it's coming out around 73% loan which we're not prepared for 27% down payment.")).

Finally, Count I (E) for negligent misrepresentation also alleges the Plaintiffs "consequent injury" (damages) and that "Plaintiffs justifiably relied" on Appellee's misrepresentations, in part stating that Appellee is liable to Appellants for "compensatory damages for the Duplexes' lost value and

[Appellants'] carrying costs." R. at 851 (¶¶75.89-75.90).

As stated in Subsection A above, such language is sufficient to place Appellee on notice as to the damages Appellants seek for her negligent misrepresentations, namely the lost value of the Duplexes when Appellee and her husband refused to close the transactions (the difference between the sum contracted for and the current appraised value, a benefit-of-the-bargain approach) and Appellants' "carrying costs" (costs Appellants have incurred as a result of the Appellee and her husband's refusal to close, minus rental income over the same time period).[9]

CONCLUSION

This Court should find that the trial court did not apply the motion to dismiss standard and that trial court erred by not finding Appellants sufficiently pleaded the fraudulent and negligent misrepresentation counts against Appellee. On this de novo review, this Court hold that Appellant

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[9]As stated in Footnote 7 above, Appellants' Response to Defendant Cintron/Platinum's recent Motion for Summary Judgment provided a comprehensive appraisal of the two Duplexes to establish the lost value and provided a current, but partial, sum for carrying costs, based on mortgage payments, taxes, insurance and other costs relating to the two Duplexes. Those documents will also become part of the Record in the related Second District case, *Patterson et al v. Cintron et al*, No. 2D2026-2576, an appeal regarding the grant of the Cintron/Platinum Motion for Summary Judgment.

sufficiently pleaded that Appellee's, or her agent's, made seven material misrepresentations or omissions, that Appellee knew, should have known, or was without knowledge of the truth or falsity of her or her agent's misrepresentations; and that Appellee intended Appellants to rely on the misrepresentations, with Appellants relying and justifiably relying on the misrepresentations and suffering damages.

October 14, 2026 Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that I have electronically served this Document by email to the following attorneys:

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CERTIFICATE OF COMPLIANCE

I certify that this brief complies with the requirements of Rules 9.045(e) and 9.210(a)(2)(b) of the Florida Rules of Appellate Procedure and does not exceed 13,000 words.

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